COVER STORY

ELECTION FUNDING

HOW TO CLEAN IT UP

WITH THE SUPREME COURT STRIKING DOWN ELECTORAL BONDS, TRANSPARENCY IN POLL FINANCES RETURNS TO THE AGENDA

By **KAUSHIK DEKA**

When the electoral bonds scheme was introduced in the Finance Bill, 2017—only a few months after the Narendra Modi government's other grand, sweeping move to cleanse the country of black money overnight: demonetisation—it was touted as a move designed to "make political funding more transparent through the flow of clean cash". So, whether you were an individual, an NGO or a corporate, you could purchase these interest-free, tax-exempt bonds from the State Bank of India (SBI) and contribute to the political party of your choice, which could then encash the same within a stipulated time-frame. The transparency, however, did not extend to the identity of the donors, who could remain anonymous. This, the then Union finance minister Arun Jaitley, the chief architect of the scheme, had reasoned was necessary to protect the donors from "any retribution from political parties".